

ADVANCING FIRST CLASS PRE-K IN ALABAMA

Two Streams of the Pre-K Dollar: One Flat, One Uneven

How equally First Class Pre-K classroom funding is distributed, 2021–22 to 2024–25

JoonHo Lee and Alison Hooper ■ August 2026

Every First Class Pre-K classroom is funded from two streams: a grant from the state’s Office of School Readiness (OSR), and the “other or additional funds” each grantee assembles to cover the rest. We examine how equally each stream is distributed across the program’s 5,867 classroom-years and \$844 million in budgeted dollars. We find that the state’s stream is remarkably flat and has grown flatter still, with its Gini coefficient falling from 0.13 to 0.08 over four years, while the other stream is consistently far more unequal, at two to three-and-a-half times the OSR Gini, a multiple that has widened as the OSR stream flattened. Although one might expect that inequality to fall hardest on the classrooms serving the most disadvantaged children, we observe the opposite: the highest-need classrooms average *more* other funds than the lowest-need ones, likely because federal Head Start dollars concentrate there, and total budgets end up within a few percent of one another across the entire need spectrum.

Our analysis yields four findings:

- **The OSR grant distributes evenly, and increasingly so.** Across classrooms, the Gini coefficient for OSR dollars fell from 0.132 in 2021–22 to 0.080 in 2024–25 (figure 1).
- **The other stream is far more unequal, and stably so.** The Gini for other funds has held between 0.28 and 0.31 in all four years, and every classroom reports at least some.

- **Higher need is associated with more other funds, not fewer.** In 2024–25 the highest-need classrooms averaged \$54,222 in other funds against \$45,373 in the lowest-need bin, while their OSR grants averaged \$14,000 *less*, likely reflecting the formula’s reduced coverage for federally funded Head Start settings (figure 2).
- **Combined budgets stay roughly level.** Total budgets run from \$154,458 in the lowest-need bin to \$149,311 in the highest, a difference of 3.3 percent across the whole gradient.

One caveat governs everything that follows. Because this dataset pools all non-OSR resources into a single “other” stream, who supplies those dollars—local boards, federal programs, tuition, philanthropy—is exactly the equity question these data cannot yet separate, and we flag it as the open item for the funding-formula discussions ahead.

Two Funding Streams and the Equity Question

Earlier work in this series has shown what classroom budgets buy, with 74 cents of every dollar going to classroom adults, and where economic need concentrates across the state. Between those two questions sits a distributional one the series has not yet taken up, which is whether the money arrives equally and whether higher need is associated with a thinner or a thicker stream of locally assembled dollars. Because the program caps OSR at 75 percent of a classroom budget and requires grantees to bring at least 25 percent, its design deliberately splits every budget into a state stream built for uniformity and a matching stream exposed to local circumstance. How unequal that second stream is, and whether its inequality tracks need, is the equity risk written into the design, and it is what we measure here.

This brief, the thirteenth in the *Advancing First Class Pre-K in Alabama* series, extends the budget-composition analysis of brief 2 (Lee and Hooper 2026) from what classroom dollars buy to how evenly they arrive.

BOX 1

Data and Methods

Data. First Class Pre-K classroom budgets, 2021–22 through 2024–25: 5,867 analysis-ready classroom-years totaling \$844 million in budgeted dollars (approved or amended budgets, not audited expenditures, in nominal dollars). Each classroom-year reports OSR grant dollars and pooled “other or additional funds.”

Measures. We measure inequality with the Gini coefficient, computed across classrooms within each year and stream (0 = every classroom identical; higher = more concentrated). For the need gradient we use the program’s six-bin classroom economic-need classification from this series’ economic-need brief; bins contain 197–242 classrooms in 2024–25. “Other funds” are pooled non-OSR resources, so

they are not a measure of local wealth, and we cannot split them into local, federal, or private sources in this dataset. All results are descriptive.

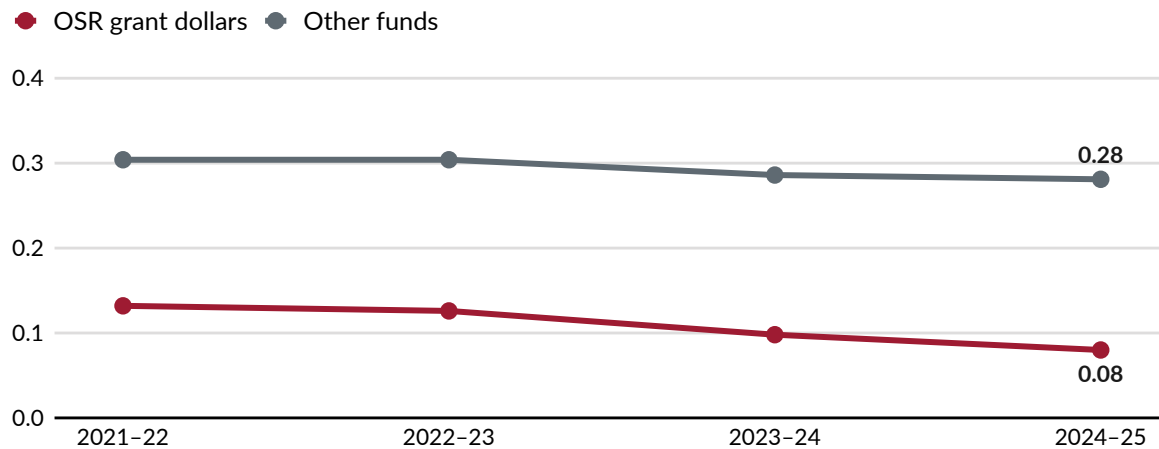
Inequality within Each Funding Stream

Figure 1 tracks each stream's Gini across the four years. OSR grant dollars start low, at 0.132, and fall by about 40 percent, to 0.080, a movement likely reflecting the formula's resource-based design settling toward near-uniform per-classroom grants. The other stream sits near 0.30 throughout, running from about twice the OSR value in 2021–22 to three-and-a-half times in 2024–25, and its multiple grew not because that stream worsened but because the OSR stream kept flattening.

FIGURE 1

The OSR Stream's Inequality Fell by About 40 Percent; the Other Stream's Held Steady

Gini coefficient across classrooms, by funding stream and year, 2021–22 to 2024–25



Source: Authors' analysis of ADECE First Class Pre-K classroom budget data, 2021–22 to 2024–25.

Notes: ADECE = Alabama Department of Early Childhood Education. Gini computed across analysis-ready classroom-years within each year and stream; 0 means identical budgets across classrooms.

The contrast in levels is the structural fact we carry forward: whatever equity the program achieves through its grant, the matching stream reintroduces roughly three-and-a-half times the dispersion as of 2024–25. Although that gap is not automatically a problem, given that classrooms differ in their costs and in their access to federal streams and the dispersion may partly reflect those differences, it does locate where any funding inequity would live.

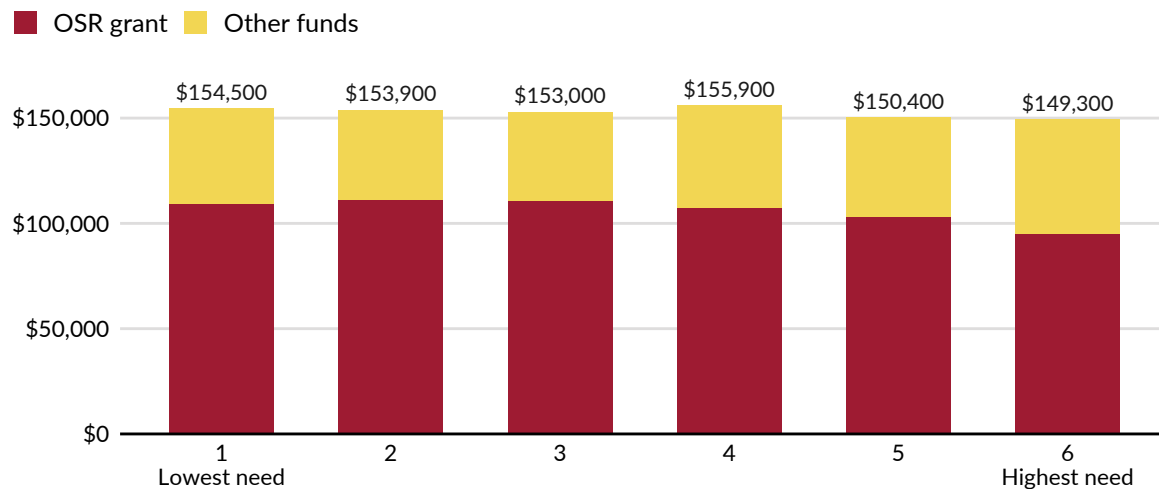
The Two Streams across the Economic-Need Gradient

Figure 2 stacks the two streams across the six need bins for 2024–25, and we observe two opposing gradients. Higher need is associated with fewer OSR dollars, which *decline* from about \$109,000–\$111,000 in the three lowest-need bins to \$95,089 in the highest, and with more other funds, which *rise* from \$45,373 to \$54,222. The program’s delivery mix suggests why: Head Start operates 15.6 percent of highest-need classrooms and essentially none of the low-need ones, and the funding formula intentionally reduces OSR coverage where federal Head Start dollars carry part of the load, dollars that then appear in the “other” stream.

FIGURE 2

High-Need Classrooms Get Less OSR, More Other Funds—and Similar Totals

Mean classroom budget by funding stream and economic-need bin, 2024–25



Source: Authors’ analysis of ADECE First Class Pre-K classroom budget data, 2024–25.

Notes: Need bins follow the program’s six-bin classroom classification (1 = lowest need); bins contain 197–242 classrooms. Labels show combined totals. Other funds pool all non-OSR resources, including federal Head Start dollars.

Because the two gradients are of similar size and opposite sign, higher need is associated with a combined budget only 3.3 percent below that of the lowest-need bin, so at the level of totals the system does not appear to underfund its neediest classrooms. Yet these data cannot speak to the composition question underneath, which is whether the non-federal share of “other” funds—the part a local community must raise itself—falls as need rises. Answering that question requires the source-level detail this dataset intentionally pools.

Discussion

A funding system that splits every classroom budget between a state grant and locally assembled dollars carries an obvious equity risk, and on the evidence we assemble here that risk has not materialized at the level of totals. What we observe instead is a flat grant, a match roughly three-and-a-half times lumpier as of 2024–25, and a delivery system whose federal partners quietly rebalance the ends of the need gradient.

For discussions of the formula itself, that equalizing record is a defensible starting point, because a grant stream with a Gini of 0.08 across 1,300 classrooms is about as flat as school finance gets. If formula refinements are on the table with ADECE, this baseline suggests that the instrument already performs its uniformity function and that the conversation ahead is about need-weighting rather than repair.

The equity question has correspondingly moved to the match. With totals level and the OSR stream flat, any remaining funding inequity would live inside the composition of the 25-percent-plus that grantees raise, which makes the actionable next step analytical rather than budgetary: restoring the source-level breakdown of local, federal, and other dollars for a single year of budgets would permit a direct test of whether locally raised dollars fall as need rises.

Importantly, Head Start's role in the totals may deserve explicit recognition. Its presence in the highest-need bins is associated with the larger other-funds averages we observe there, and federal dollars likely account for much of what keeps those classrooms' budgets level with everyone else's. The pooled "other" stream does not let us verify that directly. That is the mixed-delivery model working as designed, and it also means the program's equity at the high-need end is partly contingent on federal funding decisions made outside Montgomery.

Limitations

These analyses have several limitations. Most consequential for the equity question, "other" is a pool, and we cannot distinguish local, federal, tuition, and philanthropic dollars in these records, so the question of whether the locally raised burden falls with need remains open. The budget figures are also plans rather than payments, reporting approved amounts in nominal dollars, and audited spending may differ from them. The Gini is only one summary of a distribution, and because it weights the middle of that distribution, alternative indices might rank the two streams differently at the tails. Finally, the need bins are classroom classifications drawn from the program's own need index, with its documented uncertainties for newly opened sites. Taken together, these limitations locate the remaining open question inside the match, where the composition of non-OSR dollars is not yet observable, and answering it will require better data before it requires a budget decision.

References

Lee, JoonHo, and Alison Hooper. 2026. "What Does a First Class Pre-K Dollar Buy? Budget Composition across Alabama's Mixed-Delivery Pre-K System." Advancing First Class Pre-K in Alabama, Brief 2. Tuscaloosa: University of Alabama, College of Education.

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ABOUT THIS PROJECT

The Advancing First Class Pre-K in Alabama project examines First Class Pre-K funding, implementation, access, and comparisons with other state pre-K programs. Its goal is to offer recommendations for expanding First Class Pre-K while maintaining high levels of quality.

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